TOPIC 3 · ECONOMIC ISSUES

Allora! News; AAP; The Conversation · 28 October 2026

No recession in sight, but the jobless rate is heading up

At Senate estimates, RBA officials said none of their indicators point to a recession. They still expect unemployment, already 4.7%, to keep rising as higher interest rates slow the economy.

WHAT HAPPENED

- RBA chief economist **Sarah Hunter** said none of the indicators the bank tracks show the economy in, or about to enter, a recession. She stressed this is not a guarantee.
- Unemployment reached **4.7% in September**, up from 4.1% at the start of 2026, and employment fell by about 39,300 in the month.
- Governor **Bullock** said the labour market seems **tighter than the RBA had judged**, meaning there is less spare capacity than previously thought.
- NAB chief economist **Sally Auld** suggested unemployment may need to reach **5.5%, not 5%**, to bring inflation back to target.
- In a TV interview on 25 October, Hunter described demand as **too strong relative to supply** and warned that overseas cost increases could become embedded in domestic inflation.

Key terms: NAIRU · spare capacity · inflation–unemployment trade-off · recession

BY THE NUMBERS

4.7%
Unemployment rate, September 2026

4.1%
Unemployment at the start of 2026

−39,300
Change in employment, September

5.5%
Jobless rate NAB says may be needed

FLOW CHART

How tighter policy feeds through to the labour market

Higher interest rates → Households and firms spend and invest less → Firms slow hiring; job vacancies fall → Unemployment rises towards (or above) the NAIRU → **Wage and price pressure eases**

Exam angle: if the labour market is tighter than thought, the **NAIRU is higher** than estimated. Unemployment then has to rise further to bring inflation down, so the cost of disinflation falls on workers who lose jobs or hours.

SYLLABUS LINK

Topic 3 – Unemployment: types and causes, the NAIRU, and the trade-off between inflation and unemployment. Links to Topic 4 – limitations of monetary policy.

TRY THIS

Explain why the RBA may need unemployment to rise in order to reduce inflation. **(4 marks)**

Allora! News, 'RBA sees no near-term recession as Michele Bullock warns inflation is "far too high"', 28 Oct 2026 – https://alloranews.com/economia/rba-sees-no-near-term-recession-as-michele-bullock-warns-inflation-is-far-too-high/

AAP via Junee Southern Cross, 'November rate hike a lock after "ugly" inflation result', 28 Oct 2026 – https://www.juneesoutherncross.com.au/story/9381176/november-rate-hike-a-lock-after-ugly-inflation-result/

Isaac Gross, 'Inflation jumps to 4.3%, adding to pressure for RBA rate rise next week', The Conversation, 28 Oct 2026 – https://theconversation.com/inflation-jumps-to-4-3-adding-to-pressure-for-rba-rate-rise-next-week-295162